

AVANTEL LIMITED

CIN: L72200AP1990PLC011334

Regd Off: Sy No.141,Plot No.47/P, APIIC Industrial Park, Gambheeram(V), Anandapuram (M), Vishakhapatnam AP 531163

Email: compliance@avantel.in, website: www.avantel.in

POSTAL BALLOT NOTICE

(Pursuant to Section 110 of the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014)

Dear Member(s),

Notice is hereby given that pursuant to the provisions of Section 110 and other applicable provisions, if any, of the Companies Act, 2013 (the "Act"), read together with Rule 22 of the Companies (Management and Administration) Rules, 2014, including any statutory modification or re-enactment thereof for the time being in force, the Resolution appended below is proposed to be passed as a special resolution by way of postal ballot / electronic voting. The Explanatory Statement, pursuant to Section 102 of the Act, pertaining to the said Resolution, setting out the material facts concerning the item and the reasons thereof is annexed hereto along with a Postal Ballot Form (the "Form") for your consideration.

According to Section 180(1)(a) of the Companies Act, 2013, any sale, lease or otherwise disposal of the whole or substantially the whole of an undertaking of the Company or where the Company owns more than one undertaking, of the whole or substantially the whole of any such undertaking, requires the approval of the shareholders by way of a special resolution.

The Company proposes to sell / dispose off its immovable property including land, building, furniture, fixtures and electricals located at Plot No.16, Sector-III, Huda Techno Enclave, Opp. K. Raheja IT Park, Madhapur, Hyderabad to M/s. Tetra Soft (India) Pvt. Ltd., on an "as is where is" basis for a consideration of Rs. 18 crores (Rupees Eighteen Crores Only).

The Company is therefore seeking your consent for the said proposal as contained in the Special Resolution appended below. An Explanatory Statement pertaining to the Resolution setting out all material facts and the reasons for which such Resolution is proposed is also annexed.

As per Section 110 of the Companies Act, 2013, read with the Companies (Management and Administration) Rules, 2014 ("Rules"), the consent of the Company's shareholders for the above purpose is required to be obtained by means of a postal ballot. Accordingly, the said Special Resolution and the Explanatory Statement is being sent to you along with the Form for your kind consideration. Further, as per Section 108 of the Companies Act, 2013, read with the Companies (Management and Administration) Rules, 2014 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 the Company is required to provide to its members facility to exercise their right to vote by electronic means. Accordingly, instructions for e-voting have been provided hereunder.

Rule 22 of the Companies (Management and Administration) Rules, 2014, specify that any consent or otherwise received after thirty days from the date of dispatch of this notice shall be treated as if the reply from the member has not been received. Further the time frame of counting thirty days shall start from the date of dispatch of this notice. It is advisable to mail your Form at the Company's Registered Office latest by May 16, 2017. You are requested to carefully read the instructions printed on the accompanying form, record your assent (for) or dissent (against) therein and return the same in original duly completed in the attached self-addressed, pre-paid postage envelope (if posted in India) so as to reach the Scrutinizer not later than 5:00 p.m. on May 16, 2017 to be eligible for being considered, failing which, it will be considered that no reply has been received from the Member.

The Board of Directors has appointed Mr. MB Suneel of M/s. P S Rao & Associates, Practicing Company Secretaries as the Scrutinizer for conducting the Postal Ballot / Electronic Voting process in a fair and transparent manner.

Members desiring to opt for e-voting as per facilities arranged by the Company are requested to read the instructions in the notes to the Postal Ballot Notice.

Upon completion of the e-voting process and the scrutiny of Forms, the Scrutinizer will submit his report to the Chairman / Managing Director / Director. The result of the Postal Ballot would be announced by a Director or the Company Secretary of the Company on or before May, 17, 2017. The said results would be displayed at the Registered Office of the Company, intimated to the Stock Exchanges where the Company's shares are listed and Registrar & Share Transfer Agent and displayed along with the Scrutinizer's report on the Company's website viz. www.avantel.in and also on the website of the agency providing e-voting facility i.e. M/s. Karvy Computershare Pvt. Ltd. ("Karvy"). The date of declaration of the result of the postal ballot shall be the date on which the appended resolution would be deemed to have been passed, if approved by requisite majority. The Members are requested to consider and, if thought fit, pass the following resolution as a Special Resolution.

The Resolution will be deemed to have been passed on the date of declaration of the results of the postal ballot, if approved by the requisite majority.

ITEM NO. 1

TO SELL/ DISPOSE OFF THE IMMOVABLE PROPERTY IN THE NAME OF COMPANY PURSUANT TO SECTION 180(1)(a) OF THE COMPANIES ACT, 2013.

To consider and if thought fit, to pass with or without modification, the following resolution as a Special Resolution:

"RESOLVED THAT pursuant to the provisions of Section 180(1)(a) and Section 110 of the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014, and other applicable provisions, if any, of the Companies Act, 2013, (including any statutory modification or re-enactment thereof for the time being in force), the provisions of the Memorandum and Articles of Association of the Company, the provisions of the listing agreement entered into by the Company with the Stock Exchanges where the shares of the Company are listed, and such other approvals, consents and permissions being obtained from the appropriate authorities to the extent applicable and necessary, the consent of the members be and is hereby accorded to Board of directors to sell / transfer / dispose off its immovable property including land, building, furniture, fixtures and electricals located at Plot No.16, Sector-III, Huda Techno Enclave, Opp.

K. Raheja IT Park, Madhapur, Hyderabad, on an "as is where is" basis or in any other manner as the Board may deem fit in the interest of the Company, to M/s. Tetrasoft (India) Private Limited at a consideration of Rs.18 crores (Eighteen Crores Only) and on such terms and conditions as may be deemed fit by the Board.

RESOLVED FURTHER THAT Dr. A Vidyasagar, Managing Director or any of the director of the company be and is hereby authorised and empowered to finalise and execute necessary documents including but not limited to definitive Agreements, deeds of assignment / conveyance and other ancillary documents, with effect from such date and in such manner as is decided by the Board and to do all such other acts, deeds, matters and things as they may deem necessary and/or expedient to give effect to the above Resolution including without limitation, to settle any questions, difficulties or doubts that may arise in regard to sale and transfer of the Undertaking as they may in their absolute discretion deem fit."

By Order of the Board
For **Avantel Limited**

Sd/-

Place: Hyderabad
Date: 06.04.2017

M Ravindra
Company Secretary

Notes:

1. The explanatory statement pursuant to Section 102 of the Act stating all material facts and the reasons for the proposed resolution is annexed herewith.
2. Voting period for Postal Ballot shall commence from 17th April, 2017 at 09:00 A.M. and shall end on 16th May, 2017 at 05:00 P.M.
3. The Board of Directors of the Company has appointed Mr. M B Suneel (CP.No. 14449, M.No. 31197) of M/s. PS Rao & Associates, Practising Company Secretaries, Hyderabad, as the "Scrutinizer" to conduct the Postal Ballot & E-voting process in a fair and transparent manner.
4. The Postal Ballot Form together with the self-addressed postage pre-paid envelope is enclosed for the use of the members. Please read carefully the instructions printed on the enclosed Postal Ballot Form before exercising your vote and return the Form duly completed, signifying your assent or dissent, in the attached self-addressed, postage prepaid envelope, so as to reach the Scrutinizer within a period of 30 days from the date of dispatch of notice i.e. before the close of working hours (5.00 p.m.) on Tuesday, the 16th May, 2017.
5. The Notice is being sent through the Courier to those members who have not registered their E-mail IDs with the Company and the Depository Participants, and is also being sent electronically by e-mail to those members who have registered their e-mail IDs with their Depository Participants and with the Company, whose names appear in the Register of Members / Record of Depositories as on 07.04.2017.
6. The Company is pleased to offer e-voting facility as an alternate, for all its members to enable them to cast their vote electronically instead of dispatching Postal Ballot Forms. In case a member desires to exercise his vote by using e-voting facility then he has to carefully follow the instructions as given for E-voting printed on the backside of the Postal Ballot Form.
7. Members irrespective of who have registered their e-mails for receipt of documents in electronic mode under the green initiative and who wish to vote through Postal Ballot Form can seek duplicate Form from Registered Office of the Company and send the same by post to the Registered Office of the Company addressed to the Scrutinizer.
8. Members are informed that in case of joint holders the Notice will be sent only to such joint holder whose name stands first in the Register of Members of the Company.
9. Members holding shares in the same name under different Ledger Folios are requested to apply for consolidation of such Folios and send the relevant share certificates to the Share Transfer Agent.
10. The soft copy of the Postal Ballot & E-voting Notice and the Ballot Paper is also available at the website of the Company i.e. www.avantel.in.
11. Members may contact Mr. M Ravindra (email: m.ravindra@avantel.in, M: 8142213311), for any grievances connected with voting by postal ballot including voting by electronic means at the Registered Office of the Company at Sy No.141, Plot No.47/P, APIIC Industrial Park, Gambheeram (V), Anandapuram (M), Vishakhapatnam-531163, Andhra Pradesh.
12. All relevant documents referred to in the accompanying Explanatory Statement are open for inspection at the registered office of the Company on all working days (except on Sundays and Public holidays) between 09:00 A.M. to 05:00 P.M. up to 16th May, 2017, (i.e. the last date for receiving of Postal Ballots).
13. Pursuant to Section 108 and 110 of the Companies Act, 2013, read with Rule 20 and 22 of the Companies (Management and Administration) Rules, 2014, as amended from time to time and Regulation 44 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Company will be offering e-voting facility to the members to cast their votes (for or against) electronically on business set forth in this Notice.
14. The Company has appointed M/s. Karvy Computershare Private Limited to provide the E-voting facility to the shareholders of the Company to vote electronically. Please read carefully the E-Voting Instructions for casting your vote electronically.
15. Mr. M B Suneel of M/s. P S Rao & Associates, Practising Company Secretaries, Hyderabad has been appointed by the Board as Scrutinizer for the purpose of ascertaining the requisite majority for the business set out in the notice in a fair and transparent manner.

16. The voting rights of members shall be in proportion to their shareholding in the paid up equity share capital of the Company as on 07th April, 2017, being the cut-off date.
17. The members of the Company, holding shares either in physical form or in dematerialized form, as on 07th April, 2017, being the cut-off date, may cast their vote (for or against) electronically during 17th April, 2017 at 09:00 AM to 16th May, 2017 at 05:00 PM.
18. Members can opt for only one mode of voting, i.e, either by physical ballot or e-voting. In case Members cast their votes through both the modes, voting done by e-voting shall prevail and votes cast through physical postal ballot forms will be treated as invalid. The instructions for electronic voting are provided hereunder.

19. E-Voting Instructions for shareholders for voting electronically:

- (A) The Company is providing facility for voting by electronic means and the business as set out in the Notice may be transacted through electronic voting system. Pursuant to the provisions of Section 108 of the Companies Act, 2013, read with the Companies (Management and Administration) Rules, 2014 and Sub-regulation (1) of Regulation 44 of SEBI (LODR) Regulations, 2015, the Company is pleased to offer e-voting facility as an alternate to its members to cast their votes electronically on the resolution set forth in the Notice of postal Ballot and E-voting. The Company has engaged the services of M/s. Karvy Computershare Pvt. Ltd, to provide the e-voting facility.
- (B) The Members whose names appear in the Register of Members / List of Beneficial Owners as on 07th April, 2017 (cut-off date), are entitled to vote on the resolution set forth in this Notice.
- (C) The e-voting period will commence on 17th April, 2017 at 09:00 AM to 16th May, 2017 at 05:00 PM. During this period, shareholders of the Company holding shares either in physical form or in dematerialized form, as on the cut-off date may cast their vote electronically. The e-voting module shall be disabled by M/s. Karvy Computershare Pvt. Ltd for voting thereafter. Members will not be able to cast their votes electronically beyond the date & time mentioned above.
- (D) The Company has appointed Mr. MB. Suneel, M/s. P.S. Rao & Associates, Practising Company Secretaries, to act as Scrutinizer to conduct and scrutinize the electronic voting and postal ballot voting process in a fair and transparent manner. The members desiring to vote through electronic mode may refer to the detailed procedure on e-voting given hereunder.

PROCEDURE & INSTRUCTIONS FOR E-VOTING

Instructions and other information relating to remote e-voting are as under:

1. Please take note of the below:

- (A) In case a Member receiving an email from Karvy [for Members whose email IDs are registered with the Company/Depository Participant(s)]:
 - i) Launch internet browser by typing the URL: <https://evoting.karvy.com>.
 - ii) Enter the login credentials (i.e. User ID and Password as mentioned in the Covering Letter). Your Folio No. / DP ID-Client ID will be your User ID. However, if you are already registered with Karvy for e-voting, you can use your existing User ID and password for casting your vote.
 - iii) After entering these details appropriately, click ok "LOGIN".
 - iv) You will now reach password change Menu where in you are required to mandatorily change your password. The new password shall comprise minimum 8 characters with at least one upper case (A-Z), one lowercase (a-z), one numeric value (0-9) and a special character (@, #, \$, etc.). The system will prompt you to change your password and update your contact details like mobile number, email ID, etc. on first login. You may also enter a secret question and answer of your choice to retrieve your password in case you forget it. It is strongly recommended that you do not share your password with any other person and that you take utmost care to keep your password confidential.
 - v) You need to login again with the new credentials.
 - vi) On successful login, the system will prompt you to select the "EVENT" i.e., Avantel Limited.
 - vii) On the voting page, enter the number of shares (which represents the number of votes) as on the Cut-off date under "FOR/AGAINST" or alternatively, you may partially enter any numbering "FOR" and partially in "AGAINST" but the total number in "FOR/AGAINST" taken together should not exceed your total shareholding as mentioned in the Covering Letter. You may also choose the option "ABSTAIN". If the shareholder does not indicate either "FOR" or "AGAINST" it will be treated as "ABSTAIN" and the shares held will not be counted under either head.
 - viii) Shareholders holding multiple folios/demat accounts shall choose the voting process separately for each folios/demat accounts.
 - ix) In case you do not desire to cast your vote, it will be treated as abstained.
 - x) You may then cast your vote by selecting an appropriate option and click on "Submit".
 - xi) A confirmation box will be displayed. Click "OK" to confirm else "CANCEL" to modify. Once you confirm, you will not be allowed to modify your vote. During the voting period, Members can login any number of times till they have voted on all the Resolution(s).
 - xii) Corporate/Institutional Members (i.e. other than Individuals, HUF, NRI, etc.) are also required to send scanned certified true copy (PDF Format) of the Board Resolution/Authority Letter, etc. together with attested specimen signature(s) of the duly authorized representative(s), to the Scrutinizer/Company at e-mail ID: cssunil1427@gmail.com/m.ravendra@avantel.in with a copy marked to evoting@karvy.com. The scanned image of the abovementioned documents should be in the naming format "Corporate Name EVENTNO." The documents should reach the Scrutinizer and such other person on or before 16th May, 2017 at 05:00 PM.
- (B) In case of Members receiving physical copy of the Notice by Courier [for Members whose email IDs are not registered with the Company/Depository Participant(s)]:
 - i) User ID and initial password as provided in the Covering Letter.
 - ii) Please follow all steps from Sr. No. (i) to (xii) as mentioned in (A) above, to cast your vote.

2. The remote e-voting period commences on 17th April, 2017 at 09:00 AM and will end on 16th May, 2017 at 05:00 PM. During this period, the Members of the Company holding shares in physical form or in dematerialized form, as on the Cut-off date, being 07th April, 2017, may cast their vote by electronic means in the manner and process set out hereinabove. The e-voting module shall be disabled for voting thereafter. Once the vote on the resolution is cast by the Member, the Member shall not be allowed to change it subsequently.
3. The Company has engaged the services of M/s. Karvy Computershare Private Limited ("Karvy") as the Agency to provide e-voting facility to the members of the Company.
4. The Board of Directors of the Company has appointed Mr. MB. Suneel, of M/s. P S Rao & Associates, Practising Company Secretaries, Hyderabad to act as Scrutinizer to conduct and scrutinize the electronic voting and postal ballot voting process in a fair and transparent manner and he has communicated his willingness to be appointed as such.
5. Voting rights shall be reckoned on the paid up value of shares registered in the name of the member /beneficial owner (in case of electronic shareholding) as on the Cut-off date i.e. 07th April, 2017.
6. A person, whose name is recorded in the register of members or in the register of beneficial owners maintained by the depositories as on the Cut-off date, i.e. 07th April, 2017 only shall be entitled to avail the facility of remote e-voting and Postal Ballot.
7. The remote e-voting facility will be available during the following period: Commencement of remote e-voting: From 9:00 AM (IST) on 17th April, 2017. End of remote e-voting: Up to 05:00 PM (IST) on 16th May, 2017. The remote e-voting will not be allowed beyond the aforesaid date and time and the e-voting module shall be disabled by Karvy upon expiry of the aforesaid period.
8. The Scrutinizer shall, immediately after the conclusion of voting, count the votes by unblocking the votes cast through remote e-voting in the presence of at least two witnesses not in the employment of the Company and will make, not later than 48 hours from the conclusion of the voting, a consolidated scrutinizer's report of the total votes cast in favour or against, if any, to the Chairperson or a person authorised by him in writing who shall countersign the same. The Chairperson or a person authorised by him, upon receipt of the Scrutinizer's Report, will declare the result of voting forthwith.
9. The results declared along with the scrutinizer's report(s) will be available on the website of the Company (www.avantel.in) and on service provider's website (<https://evoting.karvy.com>) and will be communicated to the BSE Limited within 48 hours from the conclusion of the Voting.

By Order of the Board
For **Avantel Limited**

Sd/-

Place: Hyderabad
Date: 06.04.2017

M Ravindra
Company Secretary

EXPLANATORY STATEMENT UNDER SECTION 102 OF THE COMPANIES ACT, 2013

ITEM No.1:

As the members are aware that the registered office of the company is presently located at Visakhapatnam, Andhra Pradesh and the corporate office of the company is presently located at Hyderabad, Telangana. All the pivotal resources like Research & development, producing of various products etc shall be taken place at the registered office of the company. The corporate office of the company was established only for ease of communication with various statutory departments and to accommodate such manpower who takes part in various administration, Software Development and ancillary activities of the company.

The present premises at Hyderabad is a 5 store building spread across an areas of 1196 Sq. yards admeasuring a built up area of 24,124sft (approx.) and is equipped with all the required furniture, Fixtures and various amenities.

The above premise is not being fully utilized as it possesses more space than the actual requirement of the company due to which the cost of overhead and expenditure is increased. Hence the management is of opinion to sell/dispose off the said location which increases the net worth and the cash flows position of the company, and reduces the overhead expenditure thereof. This entitles the company to expand and diversify the business into new ventures.

In this regard the management has also found a suitable buyer who intends to acquire the said property at such terms and conditions as may be amicable and mutually agreed.

The sale of the said building would not have any adverse impact on the company.

As per explanation to Section 180(1)(a) of the Companies Act, 2013 ("Act"), the said building may be deemed to be an Undertaking of the Company and hence consent of the members would be required by way of a Special Resolution to transfer the said building. In terms of the provisions of Section 110 of the Act read with Companies (Management and Administration) Rules, 2014 the approval of the members has to be obtained, mandatorily through a Postal Ballot process.

None of the Directors and key managerial personnel of the Company or their respective relatives are concerned or interested in the said Special Resolution.

The Board is of the opinion that the aforesaid Resolutions at item no. 1 is in the best interest of the Company and its members and hence, recommends for your approval.